IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH, BENGALURU

C.P (CAA) No.46/BB/2017
U/S 230 to 232 of the Companies Act, 2013
Order Delivered on: 31st May 2018

IN THE MATTER OF SCHEME OF AMALGAMATION
BETWEEN
MANTRI DEVELOPERS PRIVATE LIMITED
AND
ANTHARIKSH CONSTRUCTIONS PRIVATE LIMITED
AND
MANTRI ABODES PRIVATE LIMITED
AND
MANTRI PROPERTY DEVELOPERS PRIVATE LIMITED
AND
BRAHMAGIRI REALTORS PRIVATE LIMITED
AND
MANTRI MANSION PRIVATE LIMITED
AND
AVANT GARDE SHELTERS PRIVATE LIMITED
AND
PROPCARE MALL MANAGEMENT (INDIA) PRIVATE LIMITED
AND
PROPCARE HOLDINGS PRIVATE LIMITED
AND
PROPCARE REAL ESTATE MANAGEMENT PRIVATE LIMITED
AND THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

BETWEEN:
MANTRI DEVELOPERS PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - TRANSFEREE COMPANY

AND
ANTHARIKSH CONSTRUCTIONS PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - 1ST TRANSFEROR COMPANY

AND
MANTRI ABODES PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - 2nd TRANSFEROR COMPANY

AND

MANTRI PROPERTY DEVELOPERS PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - 3rd TRANSFEROR COMPANY

AND
BRAHMAGIRI REALTORS PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - 4th TRANSFEROR COMPANY

AND
MANTRI MANSION PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - 5th TRANSFEROR COMPANY

AND
AVANT GARDE SHELTERS PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - 6th TRANSFEROR COMPANY

AND

PROPCARE MALL MANAGEMENT (INDIA) PRIVATE LIMITED,
No.1, S-86, Mantri Squire, Sampige Road,
Malleswaram,
Bangalore-560003. - 2nd TRANSFEREE COMPANY

AND
PROPCARE HOLDINGS PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - 7th TRANSFEROR COMPANY

AND
PROPCARE REAL ESTATE MANAGEMENT PRIVATE LIMITED,
Mantri House, No. 41, Vittal Mallya Road,
Bangalore-560001. - 8th TRANSFEROR COMPANY

Parties Present: 1) Ms. Shruti Jere, Advocate, Mr.Cyril Amarchand Mangaldas, No.201, Midford House, Midford Garden, Off M.G. Road, Bangalore 560001- Authorised Representative for the Petitioner Companies.
2) Mrs. Sinchana M.R, Advocate, Representative for the Registrar of Companies & Regional Director.
3) Mr. Vasanth Kumar, Assistant from O.L office.

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

Heard on: 06/09/2017, 29/09/2017, 15/12/2017, 19/01/2018, 19/02/2018, 06/03/2018, 23/03/2018, 10/04/2018 & 19/04/2018.

ORDER

The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby Anthariksh Constructions Private Limited (Transferor Company No.1), Mantri Abodes Private Limited (Transferor Company No.2), Mantri Property Developers Private Limited (Transferor Company No.3), Brahmagiri Realtors Private Limited (Transferor Company No.4), Mantri Mansion Private Limited (Transferor Company No.5), Avant Garde Shelters Private Limited(Transferor Company No.6) with Mantri Developers Private Limited (Transferee Company No.1) and Propcare Holdings Private Limited (Transferor Company No.7), Propcare Real Estate Management Private Limited (Transferor Company No.8) with Propcare Mall Management (India) Private Limited (Transferee Company No.2), so has to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner Companies.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of Anthariksh Constructions Private Limited (Transferor Company No.1), Mantri Adobes Private Limited (Transferor Company No.2), Mantri Property Developers Private Limited (Transferor Company No.3), Brahmagiri Realtors Private Limited (Transferor Company No.4), Mantri Mansion Private Limited (Transferor Company No.5), Avant Garde Shelters Private Limited(Transferor Company No.6) with Mantri Developers Private Limited (Transferee Company No.1) and Propcare Holdings Private Limited (Transferor Company No.7), Propcare Real estate Management Private Limited (Transferor Company No.8) with Propcare Mall Management (India) Private Limited (Transferee Company No.2). The Scheme of Amalgamation is shown as **Annexure -A**.

The Transferor Company No.1 was incorporated on was incorporated on 1st May, 2006 under the name and style of Anthariksh Construction Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No.**U45201KA2006PTC039179**. The Registered office of the Applicant Company is situated at Mantri House, No.41,Vittal Mallya Road,Bangalore-560001.

The Petitioner/Transferor Company No.1 objects as set out in its Memorandum of Association is "To carry on the business in all branches of architecture and of contractors, erectors, construction of buildings, houses, apartments, structures or residential offices, industrial, institutional or commercial or developers of co-operative housing societies, developers of housing scheme, townships, holiday resorts, hotels, motels and in particular preparing of building sites, construction, reconstruction, erecting, altering, improving, enlarging etc., to purchase for resale in land and house or other property of any tenure and any interest therein and to erect, sell and deal in free hold and acquire leasehold land and to make advances upon the security of land house or other property."

The Copy of the Memorandum & Articles of Association of the Transferor Company No.1 is shown in **Annexure-F.**

Authorized share capital of the Petitioner /Transferor Company No.1 as stated in the petition is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferor company No.1 as on 31st March, 2017 and is shown in **Annexure G.**

The Board of Directors of the Transferor Company No.1 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 30th June, 2016. The copies of Board Resolution are shown in **ANNEXURE – Y colly.**

The Transferor Company No.2 was incorporated as a private company under the name and style of **MANTRI ABODES PRIVATE LIMITED** on 9th November, 2010 and obtained Certificate of Incorporation from the Registrar of Companies, Karnataka CIN bearing No. U70102KA2010PTC055789.

The Petitioner/Transferor Company No.2 objects as set out in its Memorandum of Association is "To carry on the business in all branches of architecture and of contractors, erectors, construction of buildings, houses, apartments, structures or residential offices, industrial, institutional or commercial or developers of co-operative housing societies, developers of housing scheme, townships, holiday resorts, hotels, motels, and in particular preparing of building sites etc."

The Copy of the Memorandum & Articles of Association of the Transferor Company No.2 is shown in **Annexure-H.**

Authorized share capital of the Petitioner /Transferor Company No.2 as stated in the petition is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferor company No.2 as on 31st March, 2017 and is shown in **Annexure J.**

The Board of Directors of the Transferor Company No.2 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 30th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferor Company No.3 was incorporated on incorporated on 7th December, 2010 under the name and style of Mantri Property Developers Private Limited with the Registrar of Companies, Karnataka vide **CIN bearing No.U70100KA2010PTC056156**. The Registered office of the Applicant Company is situated at Mantri House, No.41,Vittal Mallya Road,Bangalore-560001.

The Petitioner/Transferor Company No.3 objects as set out in its Memorandum of Association is "to carry on the business in all branches of architecture and of contractors, erectors, construction of buildings, houses, apartments, structures or residential offices, industrial, institutional or commercial or developers of co-operative housing societies, developers of housing scheme, townships, holiday resorts, hotels, motels and in particular preparing of building sites, construction, reconstruction, erecting, altering, improving, enlarging etc."

The Copy of the Memorandum & Articles of Association of the Transferor Company No.3 is shown in **Annexure-K.**

Authorized share capital of the Petitioner /Transferor Company No.3 as stated in the petition is is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferor company No.3 as on 31st March, 2017 and is shown in **Annexure L.**

The Board of Directors of the Transferor Company No.3 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 27th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferor Company No.4 was incorporated 1st May, 2006 under the name and style of Brahmagiri Realtors Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No.U45201KA2006PTC039175.The Registered office of the Applicant Company is situated at Mantri House, No.41,Vittal Mallya Road,Bangalore-560001.

The Petitioner/Transferor Company No.4 objects as set out in its Memorandum of Association is "to carry on the business in all branches of architecture and of contractors, erectors, construction of buildings, houses, apartments, structures or residential offices, industrial, institutional or commercial or developers of co-operative housing societies, developers of housing scheme, townships, holiday resorts, hotels, motels and in particular preparing of building sites, construction, reconstruction, erecting, altering, improving, enlarging etc., to purchase for resale in land and house or other property of any tenure and any interest therein and to erect, sell and deal in free hold and acquire leasehold land and to make advances upon the security of land house or other property."

The Copy of the Memorandum & Articles of Association of the Transferor Company No.4 is shown in **Annexure-M.**

Authorized share capital of the Petitioner /Transferor Company No.4 as stated Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferor company No.4 as on 31st March, 2017 and is shown in **Annexure N.**

The Board of Directors of the Transferor Company No.4 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 30th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferor Company No.5 was incorporated on 26th October, 2010 under the name and style of Mantri Mansion Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No.U70102KA2010PTC055639.The Registered office of the Applicant Company is situated at Mantri House, No.41,Vittal Mallya Road,Bangalore-560001.

The Petitioner/Transferor Company No.5 objects as set out in its Memorandum of Association is "to carry on the business in all branches of architecture and of contractors, erectors, construction of buildings, houses, apartments, structures or residential offices, industrial, institutional or commercial or developers of co-operative housing societies, developers of housing scheme, townships, holiday resorts, hotels, motels and in particular preparing of building sites, construction, reconstruction, erecting, altering, improving, enlarging etc., to purchase for resale in land and house or other property of any tenure and any interest therein and to erect, sell and deal in free hold and acquire leasehold land and to make advances upon the security of land house or other property."

The Copy of the Memorandum & Articles of Association of the Transferor Company No.5 is shown in **Annexure-P.**

Authorized share capital of the Petitioner /Transferor Company No.5 as stated Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferor company No.5 as on 31st March, 2017 and is shown in **Annexure Q.**

The Board of Directors of the Transferor Company No.5 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 29th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferor Company No.6 was incorporated on as a private company under the name and style of AVANT GARDE BEVERAGES PRIVATE LIMITED on 16th October, 2009. Consequently the Applicant Company changed its name to AVANT GARDE SHELTERS PRIVATE LIMITED and obtained Certificate of Incorporation from the Registrar of Companies, Karnataka bearing CIN No. **U70102KA2009PTC051227**. The registered office of the Applicant Company is situated at Avant Garde Shelters Private Limited, Mantri House,No.-41,Vittal Mallya Road Bangalore- 560-001.

The Petitioner/Transferor Company No.6 objects as set out in its Memorandum of Association is "To carry on the business in all branches of architecture and of contractors, erectors, construction of buildings, houses, apartments, structures or residential offices, industrial, institutional or commercial or developers of co-operative housing societies, developers of housing scheme, townships, holiday resorts, hotels, motels, and in particular preparing of building sites, etc."

The Copy of the Memorandum & Articles of Association of the Transferor Company No.6 is shown in **Annexure-R.**

Authorized share capital of the Petitioner /Transferor Company No.6 as stated Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferor company No.6 as on 31st March, 2017 and is shown in **Annexure S.**

The Board of Directors of the Transferor Company No.6 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 30th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferee Company No.1 was incorporated on 6th December, 1990 under the name and style of GLORY ESTATE PRIVATE LIMITED in the State of Maharashtra. Subsequently on 22nd August,2000 vide Company Law Board order the Applicant Company changed its Registered Office to the State of Karnataka. Consequently the Applicant Company on 1st January, 2001 changed its name to MANTRI DEVELOPERS PRIVATE LIMITED and obtained fresh Certificate of Incorporation bearing CIN No. **U70102KA2000PTC027924**.The registered office of the Applicant Company is situated at Mantri Developers Private Limited, Mantri House,No.-41,Vittal Mallya Road Bangalore-560-001.

The Petitioner/Transferee Company No.1 objects as set out in its Memorandum of Association is "To carry on the business in all branches of architecture and of contractors, erectors, construction of buildings, houses, apartments, structures or residential offices, industrial, institutional or commercial or developers of co-operative housing societies, developers of housing scheme, townships, holiday resorts, hotels, motels, and in particular preparing of building sites, etc"

The Copy of the Memorandum & Articles of Association of the Transferee Company No.1 is shown in **Annexure-B.**

Authorized share capital of the Petitioner /Transferee Company No.1 as stated Rs.110,00,00,000/- divided into 10,00,00,000 Equity Shares of Rs.10/- each and 1,00,00,000 Preference Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.55,96,35,090/- divided into 5,59,63,509 Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferee company No.1 as on 31st March, 2017 and is shown in **Annexure C.**

The Board of Directors of the Transferee Company No.5 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 24th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferor Company No.7 was incorporated on 26th November, 2007 under the name and style of Zylus Infra Tech Private Limited with the Registrar of Companies, Karnataka. Subsequently on 20th April, 2010 the name of the Applicant Company was changed to Propcare Holdings Private Limited bearing CIN No. U45400KA2007PTC044486. The Registered office of the Applicant Company is situated at Mantri House, No.41,Vittal Mallya Road,Bangalore-560001.

The Petitioner/Transferor Company No.7 objects as set out in its Memorandum of Association is "To carry on the business of providing, either directly or through subsidiaries, facilities, services, arrangements, consultancy, execution and any other related matter with respect to maintenance, upkeep, landscaping, security arrangements, maintenance in the nature of housekeeping, electrical, plumbing, sanitation, lift maintenance, elevator maintenance and any such maintenance what so ever it may be for buildings, bungalows, residential structures, super structures, office complexes, commercial complexes, resorts, play areas, swimming pools in any place, to carry on the business in all branches of architecture and of contractors, erectors, construction of buildings, houses, apartments, structures or residential offices, industrial, institutional or commercial or developers of co-operative housing societies, etc.,

The Copy of the Memorandum & Articles of Association of the Transferor Company No.7 is shown in **Annexure-T.**

The Authorized share capital of the Petitioner /Transferor Company No.7 as stated Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/-each fully paid up

The Copy of Audited Financials of the Petitioner/ Transferor company No.7 as on 31st March, 2017 and is shown in **Annexure U.**

The Board of Directors of the Transferor Company No.7 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 29th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferor Company No.8 was incorporated on 9th March, 2001 under the name and style of Mantri Estate Management Private Limited with the Registrar of Companies, Karnataka. Subsequently on 16th September, 2009 the name of the Applicant Company was changed to Propcare Real Estate Management Private Limited bearing CIN No. U74140KA2001PTC028742. The Registered office of the Applicant Company is situated at Mantri House, No.41,Vittal Mallya Road,Bangalore-560001.

The Petitioner/Transferor Company No.8 objects as set out in its Memorandum of Association is "to provide facilities, services, arrangements, consultancy, execution and any other related matter with respect to maintenance, upkeep, landscaping, security arrangements, maintenance in the nature of housekeeping, electrical, plumbing, sanitation, lift maintenance, elevator maintenance and any such maintenance what so ever it may be for buildings, bungalows, residential structures, super structures, office complexes, commercial complexes, resorts, play areas, swimming pools in any place, to form housing societies, association of persons, builders association, tenants association or any such bodies for the purpose of attaining the object supra.

The Copy of the Memorandum & Articles of Association of the Transferor Company No.8 is shown in **Annexure-W.**

Authorized share capital of the Petitioner /Transferor Company No.8 as stated 1,00,00/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferor company No.8 as on 31st March, 2017 and is shown in **Annexure X.**

The Board of Directors of the Transferor Company No.8 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 29th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferee Company No.2 was incorporated on 16th October, 2009 under the name and style of Propcare Mall Management (India) Private Limited with the Registrar of Companies, Karnataka.The Registered office of the Applicant Company is situated at Municipal No.1, Sampige Road, Malleshwaram, Bangalore-560003.

The Petitioner/Transferee Company No.2 objects as set out in its Memorandum of Association is "to undertake the work of providing all and any kind of services including but not limited to development services, design services, construction management services, financing services, market research services, leasing services, specialty leasing services and marketing services in relation to construction of malls, buildings, houses, garages, halls, flats, office premises, shops, residential accommodation, godowns, warehouses, mills, factories, chawls, dwelling houses, roads, bridges, culverts, docks etc., to purchase, take on lease or otherwise acquire land, buildings, halls, apartments, industrial buildings and rent such accommodation"

The Copy of the Memorandum & Articles of Association of the Transferee Company No.2 is shown in **Annexure-D.**

Authorized share capital of the Petitioner /Transferee Company No.1 as stated Rs.50,00,000/- divided into 5,00,000 Equity Shares of Rs.10/- each into 15,000Equity Shares of Rs.10/-each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferee company No.2 as on 31st March, 2017 and is shown in **Annexure E.**

The Board of Directors of the Transferee Company No.2 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 29th June, 2016. The copy of Board Resolution is shown in **ANNEXURE – Y colly.**

The Transferor Company No.1 had filed C.A.No.628/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Shareholders and Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.296/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and dispensed with convening of meeting of the shareholders, secured creditors and unsecured creditors. Copy of order passed by this Tribunal in T.P.No.296/17 is shown as **Annexure-Z (colly)**.

The Transferor Company No.2 had filed C.A.No.629/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Shareholders and Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.297/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and dispensed with convening of meeting of the shareholders, secured creditors and unsecured creditors. Copy of order passed by this Tribunal in T.P.No.297/17 is shown as **Annexure-Z (colly)**.

The Transferor Company No.3 had filed C.A.No.630/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Equity Shareholders and Unsecured Creditors and convening the meeting of Secured Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.298/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and directed that the meeting of Secured Creditors of the Transferor Company No.3 be held on 15.7.2017 at 2 PM and dispensed with convening of meeting of the secured creditors and unsecured creditors. Copy of order passed by this Tribunal in T.P.No.298/17 is shown as **Annexure-Z (colly)**.

The Transferor Company No.4 had filed C.A.No.631/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Shareholders and Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.277/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and dispensed with convening of meeting of the shareholders, secured creditors and unsecured creditors. Copy of order passed by this Tribunal in T.P.No.277/17 is shown as **Annexure-Z (colly)**.

The Transferor Company No.5 had filed C.A.No.632/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Equity Shareholders and Secured Creditors and convening the meeting of Unsecured Creditors of the company. Subsequently as per Notification No. GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.278/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and directed that the meeting of Unsecured Creditors of the Transferor Company No.5 be held on 15.7.2017 at 11:00 A.M and dispensed with convening of meeting of the equity shareholders and secured creditors. Copy of order passed by this Tribunal in T.P.No.278/17 is shown as **Annexure-Z (colly)**.

The Transferor Company No.6 had filed C.A.No.633/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Shareholders and Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.279/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and dispensed with convening of meeting of the shareholders, secured creditors and unsecured creditors. Copy of order passed by this Tribunal in T.P.No.279/17 is shown as **Annexure-Z (colly)**.

The Transferor Company No.7 had filed C.A.No.634/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Shareholders and Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.280/17. The Tribunal vide separate orders dated 28th

April, 2017 allowed the Application and dispensed with convening of meeting of the shareholders, secured creditors and unsecured creditors. Copy of order passed by this Tribunal in T.P.No.280/17 is shown as **Annexure-Z (colly)**.

The Transferor Company No.8 had filed C.A.No.635/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Shareholders and Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.281/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and dispensed with convening of meeting of the shareholders, secured creditors and unsecured creditors. Copy of order passed by this Tribunal in T.P.No.281/17 is shown as **Annexure-Z (colly)**.

The Transferee Company No.1 had filed C.A.No.626/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Equity Shareholders and Secured Creditors and convening the meeting of Secured Creditors and Unsecured Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.294/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and directed that the meeting of Secured Creditors of the Transferee Company No.1 be held on 15.7.2017 at 2:00 P.M 3:00 P.M respectively and dispensed with convening of meeting of the equity shareholders. Copy of order passed by this Tribunal in T.P.No.294/17 is shown as **Annexure-Z (colly)**.

The Transferee Company No.2 had filed C.A.No.627/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Equity Shareholders and Secured Creditors and convening the meeting of Unsecured Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.295/17. The Tribunal vide separate orders dated 28th April, 2017 allowed the Application and directed that the meeting of Secured Creditors of the Transferee Company No.2 be held on 15.7.2017 at 01:00 P.M and dispensed with convening of meeting of the equity shareholders and secured creditors. Copy of order passed by this Tribunal in T.P.No.295/17 is shown as **Annexure-Z (colly)**.

This Tribunal vide order dated 29th September, 2017 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies and Income Tax Authorities, Official Liquidator and also to have an advertisement of Notice of Petition be carried out in the 'Financial Express', an English daily Newspaper and 'Vijaya Vani' a Kannada daily Newspaper and stating the next date of hearing was on 15th November, 2017.

In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit **dated 10th November, 2017** of the authorized signatory of the Petitioner Companies for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Financial Express**', an English daily Newspaper and '**Vijaya Karnataka**' a Kannada daily Newspaper.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 26th October, 2017 making some observations:

1. It is submitted that, this office has been served with copy of notice in TP Nos. 278, 281, 294, 295 and 298 of 2017, pursuant to Sub-Section (5) of Section 230 of the Companies Act, 2013. It is submitted that, this office has been served notice in respect of five applicant companies only and has not been served with any notice in respect of other five applicant companies. The registered offices of the applicant companies are situated in the state of Karnataka within the jurisdiction of this Hon'ble Tribunal.
2. That Part II of the scheme provides for amalgamation of primary Transferor Companies to the Transferee Company. However, it was not made clear in the scheme with which Transferee Company i.e., Transferee Company No.1 or Transferee Company No.2, the amalgamation of primary Transferor Companies takes place. The applicant companies may be directed to amend the scheme suitably in this regard.

3. The scheme is not providing for protection of all the employees of Transferor Company Nos. 1,2,3,4,5,6 and 7. The Applicant Companies may be directed to amend the scheme suitably by including necessary clauses for protecting the interest of the employees of all Transferor Companies.
4. On receiving the notice under sub-section (5) of Section 230, this office vide letter in Ref: F No. 3/Karnataka/Amal/764/RD/(SER)/2017/1487 dated 11.07.2017 has requested M/s Mantri Developers Private Limited, Transferee Company No.1 to submit clarifications /additional information. A copy of the said letter of this office is enclosed herewith vide annexure-A. However, the Transferee Company No.1 has not submitted any clarifications /information called for and in the absence of which, this office is not in a position to comment upon the correctness or otherwise on various issued involved in the Scheme. Therefore, applicant companies may be directed to submit the information called for by this office vide letter dated 11/01/2017 so as to enable this office to further examine the Scheme and file further representation before this Hon'ble Tribunal.
5. The Registrar of Companies, Karnataka has reported that the Applicant Transferee Company No.2 and applicant Transferor Companies involved in the proposed scheme are regular in filing the statutory returns and there are no complaints, no investigation and no inspections are pending against the applicant transferor and transferee companies. Registrar of Companies has observed that the Transferee Company has filed the Annual Return and financial statement for financial year 2014-15 and the same were not filed for the financial year 2015-16. Therefore, Transferee Company may be directed to file the Annual Return and Financial Statements for the year 2015-16.
6. The Registrar of Companies, Karnataka in his report has observed that in Part V Clause 21 of the Scheme, there is an error, where the Transferor Company No.5 holds 99.99% and the Transferee Company No.1 holds 0.01% of the issued, subscribed and paid up capital of the 6th Transferor Company, instead of which it is mentioned in the scheme as 7th Transferor Company. The Applicant Companies may be directed to amend the scheme to this effect.

7. The Registrar of Companies, Karnataka in his report has observed that in Part IV Clause 27.1 of the Scheme, there is an ambiguity in respect of specific method of Accounting Standard 14 to be followed by the Transferee Companies post amalgamation. The Applicant Companies may be directed to clarify the same.

The Director of the Petitioner Companies has filed Affidavit dated 14th December 2017 in furnishing response to the same, which are as follows:

1. For the 1st Observation: It is submitted that, notices in T.P Nos. 278, 281, 294, 295 and 298 of 2017 have been served on the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad in accordance with the provisions of the Companies Act, 2013 and the order of the Hon'ble Tribunal dated 28th April 2017 since meetings of the creditors and/or members of the said Petitioner Companies had been directed to be convened. In relation to the Petitioner Companies in T.P Nos. 296 (Anthariksh Constructions Private Limited), 297 (Mantri Abode Private Limited), 277 (Brahmagiri Realtors Private Limited), 279 (Avant Garde Shelters Private Limited), 280 (Propcare Holdings Private Limited) of 2017, the Hon'ble Tribunal by its order dated 28th April 2017 has dispensed with the requirement to convene meetings of the creditors and the shareholders of the Petitioner Companies. Accordingly, no notice under section 230(5) of the Companies Act, 2013 on the members and creditors and the shareholders of Petitioner Companies. And consequently, no notice under section 230(5) of the Companies Act, 2013 was required to be served on the Regional Director in respect of the Petitioner Companies. It may be noted that the order of the Hon'ble Tribunal dated 28th April 2017 also contains no such directions. In any event, it is submitted that the notice of the top-noted petition has been duly served on the Regional Director and the Petitioner Companies will provide responses to all queries that the Regional Director may have in relation to the Petitioner Companies. Accordingly, the Hon'ble Tribunal may be pleased to record that there is no requirement to serve notice under section 230(5) of the Companies Act, 2013 in respect of the Petitioner Companies herein on the Regional Director, and therefore, there is no lapse on the part of the Petitioner Companies herein in this regard.

2. For the 2nd Observation: It is submitted that, at Clause 1.1 of Part 1 (General) of the Scheme, Mantri Developers Private Limited has been defined as the Transferee Company, while at Clause 1.8, Propcare Mall Management (India) Private Limited has been defined as the 2nd Transferee Company. Therefore, Part II of the Scheme, which deals with amalgamation of the Primary Transferor Companies with the Transferee Company, refers to the amalgamation of the Primary Transferor Companies with the first Transferee Company i.e., Mantri Developers Private Limited. It is submitted that the definitions make it very clear as to which of the Transferee Companies Part II of the Scheme applies to and into which the Primary Transferor Companies are merging. Accordingly, it is submitted that there is no requirement to amend the Scheme in this regard. In any event, the Petitioner Companies herein undertakes to amend the scheme to make it abundantly clear that the Primary Transferor Companies are merging in to the Transferee Company No.1 i.e., Mantri Developers Private Limited, if the Hon'ble Tribunal so directs.
3. For the 3rd Observation: It is submitted that the scheme does not provide for the protection of the employees of the Primary Transferor Companies and 7th Transferor Company since the said companies do not have any employees on their rolls and consequently, no employee is being transferred from any of these companies to the Transferee Company or the 2nd Transferee Company as the case may be. Accordingly, it is submitted that there is no requirement for protecting the interest of the employees of the Primary Transferor Companies and 7th Transferor Company.
4. For the 4th Observation: It is submitted that the letter has been responded to by the Transferee Company on 22nd November 2017 and therefore, the same may be taken as complied with. The Petitioner Company will provide any additional information or clarifications as may be required by the Regional Director.
5. For the 5th observation: It is submitted that the annual returns and financial statements for the financial year 2015-16 have been filed by the Transferee Company on 31st August 2017 and 3rd October 2017 respectively. The same may be noted and the observations by the Regional Director in this regard may be taken as complied with.

6. For the 6th observation: It is submitted that, Part V Clause 21 of the Scheme, which refers to the shareholding pattern on the 6th Transferor Company has inadvertently referred to the 6th Transferor Company as the 7th Transferor Company and the Petitioner Company herein may be permitted to rectify this typographical error. The Petitioner Company herein undertakes to amend the scheme to state that "(ii) the 6th Transferor Company holds 99.99% and the transferee Company holds 0.01% of the issued, subscribed and paid up capital of the 6th Transferor Company...."
7. For the 7th observation: It is submitted that, Clause 27 of Part VI of the Scheme stated that the accounting treatment in the Transferee Company's books shall be in accordance with generally accepted accounting principles and standards including the Accounting Standard 14. It is submitted that, since 1st April 2016, the applicable accounting standards in respect of the Transferee Company are the Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 and therefore, the said Accounting Standards will apply to the Transferee Company under Clause 27 of Part VI of the Scheme. The Petitioner Companies have also, in the additional affidavits filed in the top-noted petition along with the memo of compliance on 28th September 2017, produced certificates issued by the auditors of the Petitioner Companies confirming that the accounting treatment proposed in the scheme is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies (Accounts) Rules, 2014, Companies (Indian Accounting Standards) Rules, 2015 and other generally accepted accounting principles. In light of the same, it is submitted that there is no ambiguity in the Accounting Treatment applicable to the Petitioner Companies, as stated in the Scheme, and the same may be taken as clarified.

The Registrar of Companies, Karnataka on behalf of the Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad has filed an Additional Affidavit dated 19th February 2018 stating that, the office has been communicated by the Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad vide Ref. F No. 3/Karnataka/AMAL/764/RD (SER)/2017 dated 15th February 2018 stating therein that, he being the competent authority on behalf of the Central Government has examined the

Affidavit dated 14/12/2017 of the Petitioner Company, served on the Directorate on 14/02/2018 and stated that, upon consideration of the same, conveyed its no objection to the instant scheme. However, the Directorate pointed out that the Petitioners have not served notice under section 230 (5) of the Companies Act, 2013 to Directorate, but it is pressing for the same as it has been provided with the opportunity to examine the instant scheme upon receipt of the copy of the Company Petition, in which this representation is being filed.

On the prayer made by the Official Liquidator in OLR No.180/2017 in CP(CAA)No.46/BB/2017 vide order dated 15th December, 2017 Official Liquidator was permitted to appoint a Chartered Accountant from among the panel maintained by his office. M/s. U.C.Bhandari & Co Chartered Accountant was appointed to scrutinize the Books of Accounts and records of the Petitioner/Transferor Companies. Upon scrutiny of Books & Records and other material made available by the Transferor Companies M/s. U.C.Bhandari & Co Chartered Accountants has submitted report dated 16th January 2018. Pursuant to the same, the Official Liquidator has filed a report in OLR.No.15/2018 in CP(CAA)No.46/BB/2017 stating that, the Transferor Companies has maintained proper books and records and that the affairs of the Transferor Companies have not been conducted in a manner prejudicial to the interests of the members or to public interest.

The Counsel for the Petitioner Companies has filed copy of Accounting Treatment Certificate **dated 12th July 2017** of the Auditor stating that "Based on our examination and according to the information and explanations given to us, read with paragraph 8 above, in our opinion, the proposed accounting specified in clause 27.1 of the Draft Scheme, as such, is in compliance with the applicable Indian Accounting Standard prescribed under section 133 of the Companies Act,2013 r/w rule 7 of the Companies (Accounts) Rules, 2014 (as amended from time to time), Companies (Indian Accounting Standards) Rules, 2015 (as amended from time to time) and other generally Accepted Accounting Principles. The Auditors Certificate on Accounting Treatment is shown as **Annexure-AD**.

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Companies and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Petitioner/Transferor Companies therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016 and the **Registrar of Companies will ensure compliance of payment of stamp duties as applicable.**

The Transferor Companies or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Companies to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

The Petitioner Companies or its Authorised Signatories are directed to ensure compliance of the directions of the Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad as prescribed in the Affidavit dated 26th October 2017 and in additional Affidavit dated 19th February 2018, while implementing the scheme.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

31/5/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

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